Illustration 12

Calculate (i) Inventory turnover ratio (ii) Trade receivable turnover ratio (iii) Trade payable turnover ratio and (iv) Fixed assets turnover ratio from the following information obtained from Delphi Ltd.

Particulars	As on 31st March, 2018 ₹	As on 31st March, 2019 ₹
Inventory	1,40,000	1,00,000
Trade receivables	80,000	60,000
Trade payables	40,000	50,000
Fixed assets	5,50,000	5,00,000

Additional information:

(i) Revenue from operations for the year ₹ 10,50,000

(ii) Purchases for the year ₹ 4,50,000

(iii) Cost of revenue from operations ₹ 6,00,000.

Assume that sales and purchases are for credit.

Solution

$$\text{(i) Inventory turnover ratio} = \frac{\text{Cost of revenue from operations}}{\text{Average inventory}} = \frac{6,00,000}{1,20,000} = 5 \text{ times}$$

$$\text{Average inventory} = \frac{\text{Opening inventory} + \text{Closing inventory}}{2}$$

$$= \frac{1,40,000 + 1,00,000}{2} = \frac{2,40,000}{2} = ₹\ 1,20,000$$

$$\text{(ii) Trade receivables turnover ratio} = \frac{\text{Credit revenue from operations}}{\text{Average trade receivables}}$$

$$= \frac{10,50,000}{70,000} = 15 \text{ times}$$

$$\text{Average trade receivables} = \frac{\text{Opening trade receivables} + \text{Closing trade receivables}}{2}$$

$$= \frac{80,000 + 60,000}{2} = \frac{1,40,000}{2} = ₹\ 70,000$$

$$\text{(iii) Trade payables turnover ratio} = \frac{\text{Net credit purchases}}{\text{Average trade payables}} = \frac{4,50,000}{45,000} = 10 \text{ times}$$

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